

SALES & DISTRIBUTION MANAGEMENT • CASE ANALYSIS

Ending the Channel War

*An omni-channel sales organisation, attribution logic, budget split
and alignment mechanism for Aarav Apparel, FY27*

Prepared for the Chief Financial Officer

120 stores • D2C site & app • Myntra, Ajo, Flipkart, Amazon • July 2026

THE SITUATION

A healthy P&L sitting on a broken measurement system

Indore, 6:40 pm

An associate fits a customer for twenty minutes. The customer photographs the tag and buys the same style that night on Myntra at 26% off.

The store books nothing. The associate earns nothing. Digital books 100%.

₹1,150 cr

FY26 net revenue

77 / 23

Store vs digital revenue mix

14 pts

Self-inflicted online-vs-store discount gap

39%

Store bills with a customer ID — six in ten journeys are invisible

Three forces make this urgent, not merely unfair

1 Quick commerce reached fashion

Myntra's M-Now runs 30-minute delivery from 87+ dark stores across ten markets. The store's last operational edge — immediacy — is gone.

2 Marketplace margin is tightening

Effective deductions of 30–40% of selling price. Marketplace growth buys revenue at two-thirds of a store rupee's margin.

3 D2C brands are buying what we own

Snitch targeting 100 stores, The Souled Store 200. We already have 120 — and we account for them as a cost centre.

Every number in this deck is an assumption — here they are

FY26 net revenue	₹1,150 cr	Stores ₹885 cr • Marketplace ₹184 cr • D2C ₹81 cr
Network	120 stores	2,300 sq ft average • ₹7.38 cr revenue per door
Gross margin	52 / 55 / 37%	Store • D2C • Marketplace (net of commission and returns)
Store contribution	17.5%	After rent 9.5% and payroll 6.8% of store net sales
Return rate	3 / 17 / 29%	Store • D2C • Marketplace — blended 14.2%
Discount to MRP	12 / 18 / 26%	Store • D2C • Marketplace
People	1,080 + 62 + 45	Store-facing • Digital • Omni ops, CRM and planning
Digital near a store	68%	Share of digital revenue landing within 8 km of a door
FY27 plan	₹1,392 cr (+21%)	18 net new stores • digital to ₹391 cr
S&D budget in scope	₹139 cr	10.0% of planned revenue • FY26 actual ₹118 cr

One commercial P&L above the channels



Channels lose their revenue targets

They keep contribution reporting for cost control. Only the CCO carries revenue — so neither director can win a transfer at the other's expense.

Shared services are peers, not support

Report them into either channel and the data and the inventory get rationed in that channel's favour.

16 Catchment Councils bind both channels

Chaired by the Area Manager: one forecast, one stock plan, one promotion calendar per cluster. Four outcomes carry two accountable owners, deliberately.

Stop using one number for three jobs

Revenue credit

Where did the cash land?

100% to the channel that took payment.
Sums to exactly 100%.

Statutory accounts, GST, channel P&L

Influence credit

Who touched this journey?

100% to every channel with a qualifying touch.
Sums to more than 100% by design.

Budget allocation, catchment planning

Incentive credit

Who gets paid for this?

Fractional split by journey type.
Sums to exactly 100%.

Variable pay, bonus pool, league tables

Incentive-credit split rules — matched on verified mobile or loyalty ID

Pure walk-in **100 / 0** ₹604 cr

Webrooming → store (30-day) **70 / 30** ₹281 cr

Showrooming → online (14-day) **45 / 55** ₹71 cr

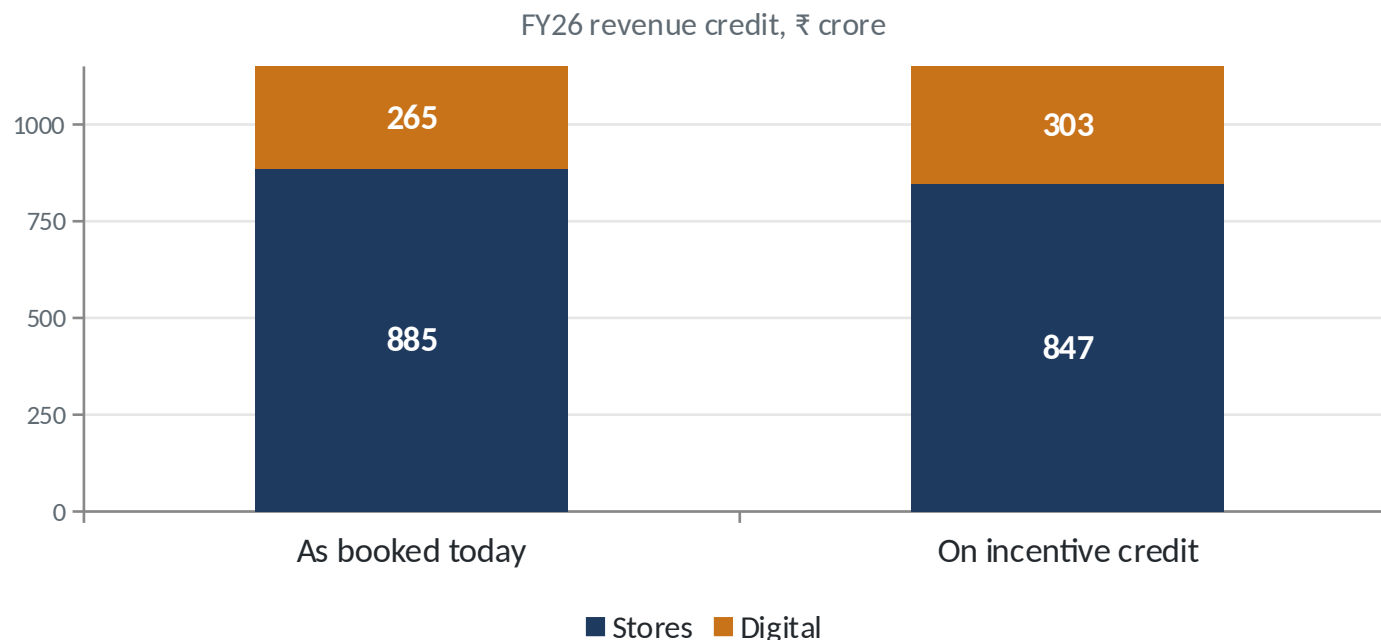
Endless aisle, associate-raised **100 / 0** ₹9 cr

Click & collect / ship-from-store **40 / 60** ₹13 cr

Marketplace / D2C, no store link **0 / 100** ₹172 cr

Splits track who bore the decisive cost and risk. In fashion that is fit and trial — which is why webrooming favours the store.

The model costs stores ₹38 cr. That is why it is credible.



Stores give up

₹84.3 cr

of webroomed revenue they bank in full today

Stores recover

₹46.2 cr

of digital-booked revenue they see none of today

Net effect on stores

-₹38 cr

on the credited base — a 4.3% reduction

A model that only ever moved credit towards the aggrieved party would be a political settlement, not a measurement system — and the digital team would be right to refuse it.

Fix store morale in the rate, not the base: re-base commission from 1.20% of booked sales to 1.254% of credited sales. Target earnings held whole in year one ($₹885 \text{ cr} \times 1.20\% = ₹847 \text{ cr} \times 1.254\% = ₹10.6 \text{ cr}$) — but on a base stores can now grow through digital rather than despite it.

3

BUDGET

₹139 cr for FY27: 43 / 40 / 17

Store sales support

₹60.0 cr

43.2%

FY26: ₹44 cr → +36%

Digital growth

₹55.0 cr

39.6%

FY26: ₹68 cr → -19%

Omni-shared, ring-fenced

₹24.0 cr

17.3%

FY26: ₹6 cr → +300%

Six weighted criteria — the weights are yours to contest, the scores follow from the model

Criterion	Weight	Store	Digital
Contribution per rupee of spend	30%	8	5
Incremental growth headroom	20%	5	9
Acquisition efficiency and CLV	15%	6	8
Committed fixed-cost coverage	15%	9	3
Strategic capability, irreversibility	10%	4	9
Attributed revenue share	10%	7	3
Weighted score → 52.3% / 47.7% of the ₹115 cr that is left after ring-fencing			

Digital's budget falls 19% while its revenue grows 47%.

Is that defensible?

FY26 digital

₹68.0 cr

less non-recurring launch and platform build

– ₹11.0 cr

less spend reclassified to Omni-Shared

– ₹14.0 cr

Continuing base

₹43.0 cr

FY27 of ₹55.0 cr is +28% on the continuing base. Digital's working spend rises — only its ownership of shared spend falls.

One scorecard, one pool, one gate

Rebuilt variable pay — same target cost, different earning basis

	Store	Digital
Own-channel result	55%	45%
Store: credited sales at 1.254%. Digital: net contribution, not GMV		
Omni catchment revenue	25%	25%
Literally the same number for both teams — 68% of digital lands within 8 km of a door		
Shared behaviour scorecard	20%	30%
Capture rate, endless aisle, fulfilment SLA, returns, price parity, NPS		

Price-parity corridor

Hard 5-point cap on the store-vs-own-digital gap, plus a store price-match wallet capped at 1.2% of net sales. We cannot control Myntra's discount. We set our own 14-point gap and can close it tomorrow.

₹90 per store-fulfilled order

An internal transfer price into the store P&L for ship-from-store and click & collect. Not a bonus — payment for a service the store renders to digital.

Ten unified KPIs

Omni catchment revenue, credited revenue, net omni contribution, capture rate, cross-channel share, returns, store-fulfilled share, parity compliance, ATP fill, omni NPS. Four are unmeasured today.

₹4.5 cr cross-channel pool

0.32% of planned net revenue, capped at 10% of any individual's fixed CTC

GATE A

Store credited revenue
≥ 97% of plan

AND

GATE B

Digital net contribution
≥ 100% of plan

Miss either gate and the pool funds at 40% — for everyone. Neither team can win while the other loses. That is the entire mechanism.

62% store field · 20% digital · 18% omni ops and CRM

THE ASK

Nine moves, sequenced over four quarters

1 Appoint a Chief Commercial Officer

Remove independent revenue targets from Retail and Digital. Everything else depends on this.

3 Restate FY26 on credited revenue and publish it

₹847 cr store, ₹303 cr digital. The -₹38 cr is what makes it believable.

5 Re-base store variable pay to 1.254% of credited sales

Written no-loss guarantee for FY27.

7 Close the self-inflicted 14-point price gap

5-point corridor plus a capped price-match wallet.

9 Instrument before you incentivise

Capture rate to 55% before the pilot, 70% before national rollout.

2 Adopt the three-ledger credit model

Freeze the rules for twelve months.

4 Move the budget to ₹60 / ₹55 / ₹24 cr

Show digital the like-for-like reconciliation before the headline.

6 Fund the ₹4.5 cr dual-gated pool

Converts a truce into cooperation.

8 Pay ₹90 per ship-from-store or click & collect order

Tells the field that serving a digital customer is paid work.

Q1 FY27

CCO appointed · data platform and attribution engine built · consent capture live

Gate: capture $\geq$ 55%

Q2 FY27

Parallel run in 24 stores · Catchment Councils stood up · parity corridor enforced

Gate: variance $<$ 3%

Q3 FY27

National rollout of scorecard and re-based pay · ship-from-store in 60 doors

Gate: capture $\geq$ 70%

Q4 FY27

Pool pays out on the dual gate · FY28 budget rebuilt on credited revenue

Gate: audited by Finance

WHAT SUCCESS LOOKS LIKE AT FY27 EXIT

39% → 75%

Store bills carrying a
verified customer ID

9% → 18%

Active customers buying
in two or more channels

4% → 22%

Digital orders fulfilled
by a store

6 → 10

Omni Scorecard KPIs
actually instrumented

And the sentence this deck opened with —

“an associate in Indore fits a customer for twenty minutes and books nothing”

— is no longer true.